

Financial Report

Infosys Annual Report FY25: Summary of Key Risk Factors

Introduction

This report summarizes the key risk factors as outlined in the Infosys Integrated Annual Report 2024-25. Infosys employs a robust Enterprise Risk Management (ERM) framework to identify, assess, mitigate, and monitor these risks, ensuring the achievement of strategic objectives and maintaining resilience in uncertain times. The ERM function enables effective resource allocation through structured qualitative and quantitative risk impact assessment and prioritization based on the Company's risk appetite [Source: infosys-ar-25.pdf, Page 121, Page 149].

General Risks and Forward-Looking Statements

Forward-Looking Statements

The Annual Report contains forward-looking statements, and actual results or outcomes may differ materially from these statements due to substantial known and unknown risks, uncertainties, and other factors. These factors include, but are not limited to, risks relating to the execution of Infosys's business strategy, increased competition for talent, the ability to attract and retain personnel, increases in wages, investments to reskill employees, the ability to effectively implement a hybrid work model, economic uncertainties, geopolitical situations, technological disruption (such as generative AI), a complex and evolving regulatory landscape (including immigration regulation changes), ESG vision, Capital Allocation Policy, and expectations concerning market position, future operations, margins, profitability, liquidity, capital resources, corporate actions (including acquisitions), and the amount of any additional costs resulting directly or indirectly from the McCamish cybersecurity incident [Source: infosys-ar-25.pdf, Page 368].

Enterprise Risk Management Framework Categories

Infosys has adopted an integrated ERM framework, developed by incorporating best practices based on COSO and ISO 31000, tailored to suit its unique business requirements [Source: infosys-ar-25.pdf, Page 121]. This framework encompasses all of the Company's risks across three main categories:

1. Strategy and Strategy Execution Risks

Description: These risks arise from the choices made in defining the Company's strategy and the potential challenges to its successful execution [Source: infosys-ar-25.pdf, Page 121].

Mitigation: Risks inherent to the industry and competitiveness are analyzed and mitigated through strategic choices of target markets, market offerings, business model, and talent base [Source: infosys-ar-25.pdf, Page

121].

2. Operational Risks

Description: This category covers risks affecting policies, procedures, people, and systems, which could impact service delivery, operations, or compromise core values or business practices. Examples include inefficiencies in internal processes, human rights, fraud risks, business activity disruptions due to natural calamities, climate change events, human conflicts, system failures, and cybersecurity attacks [Source: infosys-ar-25.pdf, Page 121].

3. Legal and Compliance Risks

Description: These risks pose threats to the Company's financial, organizational, or reputational standing resulting from litigations, non-conformance with laws, regulatory or geo-political developments, codes of conduct, and contractual compliances [Source: infosys-ar-25.pdf, Page 121].

Key / Emerging Risks

Commoditization of Services and Heightened Competitive Landscape

Impact on Company: If Infosys is unable to differentiate its offerings and manage customer expectations in times of intense competition for technology services, and/or effectively use generative AI to enhance productivity, this could affect win rates and pricing, reduce market share, and decrease revenue and profits. Customers looking inwards by insourcing or establishing/expanding Global Capability Centers (GCCs) for services provided by Infosys may result in a loss of addressable market share, thus impacting overall growth and profitability [Source: infosys-ar-25.pdf, Page 124].

Impacted Capitals: Financial and Intellectual [Source: infosys-ar-25.pdf, Page 124].

Mitigation / Opportunity: Differentiation of services through constant innovation and developing industry solutions; continued investments to identify, incubate, develop, and launch innovative offerings; constant investments in technology to increase automation and improve productivity savings; a broad portfolio of interconnected services and solutions; focused growth of new and emerging technological areas like Cloud and AI; and collaboration and co-creation to address GCC business requirements [Source: infosys-ar-25.pdf, Page 124].

Technology Disruption and Innovation

Impact on Company: Rapid changes to the technology landscape pose a threat. If Infosys is unable to adapt to technology disruptions such as AI and Cloud, and develop capabilities in new services, it would adversely impact revenue, profitability, and reputation. Not having the right framework and approach to identify, invest in, incubate, and operationalize new services and offerings in line with technology changes, client preferences, and market expectations may disrupt Infosys's value proposition and reduce its relevance to customers. The speed and nature of technological changes make predicting trends difficult [Source: infosys-ar-25.pdf, Page 124].

Impacted Capitals: Financial, Human, and Intellectual [Source: infosys-ar-25.pdf, Page 124].

Mitigation / Opportunity: An innovation council led by executive leadership to identify and incubate "next big bets"; joint innovation showcases with clients, industry forums, alliances, partners, and academia; investments in research and development to develop consulting and industry-domain knowledge-led solutions; reskilling programs for employees in newer technologies and methodologies; large deal-specific investments to drive innovation; and alliances/partnerships with emerging technology firms. An opportunity exists to identify, develop, and deploy new offerings to customers leveraging next-generation technologies [Source: infosys-ar-25.pdf, Page 124].

Talent Supply Constraints / Increased Competition for Talent

Impact on Company: Factors such as increased competition for talent, the Company's ability to attract and retain personnel, and increases in wages are important factors that may cause actual results or outcomes to differ materially from forward-looking statements [Source: infosys-ar-25.pdf, Page 368].

Mitigation: Investments to reskill employees are mentioned as a factor in forward-looking statements [Source: infosys-ar-25.pdf, Page 368]. A reskilling program for employees in newer technologies and methodologies is in place as part of mitigating technology disruption risks [Source: infosys-ar-25.pdf, Page 124]. As of March 31, 2025, Infosys had 323,578 employees [Source: infosys-ar-25.pdf, Page 124].